

Arizona

OZ 2.0 Nomination Analysis — Proposed Designation Slate and County-by-County Justification

500 Eligible tracts statewide (IRS Rev. Proc. 2026-14)	125 Proposed nominations (25% statutory ceiling)	14 Counties with at least one nominated tract	
124 in DCI top distress quintiles (Q1–Q2)	43 rural-designated — QROF bonus eligible (P.L. 119-21)	118 CRA-eligible (FFIEC 2025, two-track)	23 with prior NMTC investment (CDFI Fund 2024)

About This Report

This report proposes a slate of 125 Opportunity Zone 2.0 nominations for Arizona — the statutory maximum under IRS Rev. Proc. 2026-14 (25 percent of 500 eligible tracts). Nominations are drawn from all 14 Arizona counties with eligible tracts. Each nominated tract was scored on two dimensions: **economic need** (EIG Distressed Communities Index quintile, USDA persistent poverty county designation) and **investment readiness** (prior NMTC activity, CRA designation, rural QROF eligibility). Tracts scoring highest on the combined measure were nominated, subject to a minimum of one nomination per county.

Each county section that follows presents the proposed nominated tracts in a data table, a narrative making the case for economic need, and a narrative on investment readiness — including why capital should plausibly flow to these specific places. Where trade-offs were made or data limitations affect conclusions, they are disclosed. An appendix provides the complete 125-tract nomination list for submission.

Scoring Methodology

Need indicators: DCI quintile 1 = 50 pts, Q2 = 38 pts, Q3 = 22 pts, Q4 = 8 pts; raw DCI score adds up to 10 pts; persistent poverty county adds 8 pts. **Investment-readiness indicators:** CRA eligible (any FFIEC track) = 18 pts; prior NMTC = 12 pts; rural QROF eligibility = 10 pts. Maximum possible score: 106 pts. CRA eligibility uses the FFIEC two-track definition (FFIEC Census Flat File, 2025 exam year): Track 1 = Low or Moderate Income; Track 2 = distressed/underserved non-metropolitan middle-income tracts. DCI data is unavailable for some rural reservation tracts (PO Box ZIP codes) — these receive partial credit and their actual distress may exceed what the score implies. Scores are a selection tool, not a ranking of community need.

Statewide Summary by County

County	Eligible	Nominated	DCI Q1–Q2	Rural/QROF	CRA	NMTC	Pers. Poverty
Maricopa County	238	56	56	0	56	17	0
Pima County	88	25	25	1	25	3	0
Pinal County	28	4	4	3	4	0	0
Yuma County	24	1	0	0	1	1	0
Mohave County	22	1	1	1	1	0	0
Navajo County	21	8	8	8	5	1	8
Cochise County	15	6	6	6	5	0	0
Apache County	14	7	7	7	7	0	7

Coconino County	13	3	3	3	3	0	0
Yavapai County	13	1	1	1	0	0	0
Gila County	8	4	4	4	2	1	0
Santa Cruz County	7	5	5	5	5	0	0
La Paz County	6	3	3	3	3	0	0
Graham County	3	1	1	1	1	0	0

DCI Q1–Q2: tracts in the two most distressed quintiles nationally (EIG DCI 2023). Rural/QROF: rural-designated under Notice 2025-50 §4.01. CRA: eligible under FFIEC two-track definition (FFIEC Census Flat File, 2025 exam year). NMTC: prior New Markets Tax Credit investment (CDFI Fund 2024). Pers. Poverty: USDA ERS County Typology 2015.

Apache County

7 nominated / 14 eligible · 7 rural/QROF · 7 CRA · 0 NMTC · 7 DCI Q1–Q2 · Persistent poverty

Economic Need

Apache County is among the most economically distressed jurisdictions in the United States. All 14 eligible tracts carry a USDA persistent poverty designation — meaning the county recorded poverty rates at or above 20 percent in every decennial census from 1980 through 2010. The seven nominated tracts average a DCI score of 95.5 out of 100, placing them in the top quintile of distress nationwide. The county is home to the Navajo Nation and Fort Apache Reservation (White Mountain Apache Tribe), and all nominated tracts are rural-designated under Notice 2025-50, qualifying for the QROF rural bonus.

Investment Readiness

All seven nominated tracts carry CRA designation — five Low or Moderate Income under the FFIEC income test and two via the FFIEC distressed/underserved (Track 2) designation for rural middle-income tracts that meet unemployment or poverty criteria. This full CRA coverage opens bank balance-sheet capital channels across the entire nominated slate. The QROF 30 percent basis step-up and 50 percent improvement threshold make rehabilitation projects financially viable at lower capital deployment than standard OZ tracts. Tribal enterprise capacity — including casino operations and agricultural enterprises — provides an institutional foundation for investor engagement. The main constraint is the need for tribal government coordination: investors must navigate leasing and land tenure requirements on trust land. The state should engage both the Navajo Nation and White Mountain Apache Tribe in the nomination process to surface investment-ready projects.

Not nominated: Seven of 14 eligible tracts not nominated scored below 80, primarily because they lack DCI data (PO Box ZIP codes on reservation land) and some lack CRA designation — not because conditions are better, but because data gaps suppress their scores.

GEOID	Rural	DCI Score (Q)	CRA	NMTC	Pers.Pov	Score
04001944901	✓	99.0 (Q1 ▲)	M	–	✓	96
04001970202	✓	98.2 (Q1 ▲)	D/U	–	✓	96
04001944000	✓	96.3 (Q1 ▲)	D/U	–	✓	96
04001944100	✓	96.2 (Q1 ▲)	M	–	✓	96
04001944201	✓	95.0 (Q1 ▲)	L	–	✓	96
04001942700	✓	93.7 (Q1 ▲)	M	–	✓	95
04001945100	✓	90.3 (Q2)	M	–	✓	83

DCI Q: quintile 1=most distressed, 5=least. ▲ = Q1. CRA: L=Low Income, M=Moderate Income, D/U=Distressed/Underserved (Track 2, FFIEC 2025). Score: composite need+readiness (max 106).

Cochise County

6 nominated / 15 eligible · 6 rural/QROF · 5 CRA · 0 NMTC · 6 DCI Q1–Q2 · No pers. poverty

Economic Need

Cochise County is a rural border county anchored by Sierra Vista (near Fort Huachuca), Douglas, and Bisbee. All six nominated tracts are rural-designated with DCI scores ranging from 86.8 to 93.5, placing five of the six in distress quintile 1 nationally. The border economy creates structural unemployment in the communities of Douglas and Naco, and the county's remote geography limits access to private capital markets.

Investment Readiness

Five of six nominated tracts carry CRA Moderate Income designation, and Fort Huachuca's presence gives the county an unusual economic anchor — defense spending flows through Sierra Vista regardless of commodity cycles. The border region's cross-border trade infrastructure (Douglas port of entry) creates legitimate commercial real estate and logistics investment opportunities. QROF eligibility on all six nominated tracts provides a further incentive for infrastructure-oriented fund managers targeting rural Southwest.

Not nominated: Nine tracts not nominated range from DCI Q3 to Q4 with mixed CRA coverage. The county's 15 eligible tracts are all rural; the six nominated represent the strongest need-plus-readiness combination available.

GEOID	Rural	DCI Score (Q)	CRA	NMTC	Pers.Pov	Score
04003000901	✓	93.5 (Q1 ▲)	M	—	—	87
04003000902	✓	93.2 (Q1 ▲)	M	—	—	87
04003000700	✓	93.5 (Q1 ▲)	M	—	—	87
04003000101	✓	91.4 (Q1 ▲)	M	—	—	87
04003001100	✓	86.8 (Q2)	M	—	—	75
04003000800	✓	93.5 (Q1 ▲)	—	—	—	69

DCI Q: quintile 1=most distressed, 5=least. ▲ = Q1. CRA: L=Low Income, M=Moderate Income, D/U=Distressed/Underserved (Track 2, FFIEC 2025). Score: composite need+readiness (max 106).

Coconino County

3 nominated / 13 eligible · 3 rural/QROF · 3 CRA · 0 NMTC · 3 DCI Q1–Q2 · No pers. poverty

Economic Need

The three nominated Coconino County tracts are AIAN-numbered reservation tracts (census codes 9450–9452), almost certainly on or adjacent to Navajo Nation land in the eastern part of the county. All three score in DCI quintile 1 — above 92 — with CRA Moderate Income designation and rural QROF eligibility. Coconino County stretches from the Grand Canyon to the Utah border, and these specific tracts represent some of the highest-need geography in the state.

Not nominated: Ten Coconino tracts not nominated include five with very low or null DCI scores — likely rural tracts near the North Rim and Kaibab Plateau where ZIP-based DCI data is unavailable. These tracts may warrant nomination by the Navajo Nation directly.

Investment Readiness

The CRA LMI designation on all three tracts opens bank capital channels. Proximity to Flagstaff — Northern Arizona University, a growing tech-adjacent economy, and a strong outdoor recreation tourism sector — provides a demand anchor for workforce housing and small-business investment. Rural QROF eligibility adds to investor economics. As with Apache County, tribal land tenure requires up-front coordination but is not a disqualifying obstacle for experienced Indian Country developers.

GEOID	Rural	DCI Score (Q)	CRA	NMTC	Pers.Pov	Score
04005945200	✓	96.9 (Q1 ▲)	M	–	–	88
04005945000	✓	95.7 (Q1 ▲)	M	–	–	88
04005945100	✓	92.6 (Q1 ▲)	M	–	–	87

DCI Q: quintile 1=most distressed, 5=least. ▲ = Q1. CRA: L=Low Income, M=Moderate Income, D/U=Distressed/Underserved (Track 2, FFIEC 2025). Score: composite need+readiness (max 106).

Gila County

4 nominated / 8 eligible · 4 rural/QROF · 2 CRA · 1 NMTC · 4 DCI Q1–Q2 · No pers. poverty

Economic Need

Gila County's eligible tracts center on the Globe-Miami copper mining corridor in central Arizona. Four of eight tracts are nominated, all rural, with DCI scores between 82 and 93. The mining economy has driven cyclical boom-bust patterns for over a century, and the county's lack of economic diversification is reflected in elevated DCI distress scores. One nominated tract (04007940400) had prior NMTC investment — the only county tract with a documented capital deployment track record.

Investment Readiness

The prior NMTC project in tract 04007940400 demonstrates that deal flow and CDFI engagement have occurred here before, making it the most investment-ready tract in the county. CRA Moderate Income designation on two of four nominated tracts provides a bank capital pathway. Rural QROF eligibility on all four reduces the improvement threshold for rehabilitation projects. The Globe-Miami area's proximity to the growing Phoenix east valley (US-60 corridor) positions it as a potential manufacturing and logistics site as industrial land costs rise in Maricopa County.

Not nominated: The four un-nominated tracts include two without CRA designation and two with null DCI data (likely remote trust land tracts). These may be revisited if tribal nominations are submitted through the San Carlos Apache Tribe.

GEOID	Rural	DCI Score (Q)	CRA	NMTC	Pers.Pov	Score
04007940400	✓	84.0 (Q2)	M	✓	–	86
04007000800	✓	82.3 (Q2)	M	–	–	74
04007001100	✓	92.8 (Q1 ▲)	–	–	–	69
04007001300	✓	90.4 (Q1 ▲)	–	–	–	69

DCI Q: quintile 1=most distressed, 5=least. ▲ = Q1. CRA: L=Low Income, M=Moderate Income, D/U=Distressed/Underserved (Track 2, FFIEC 2025). Score: composite need+readiness (max 106).

Graham County

1 nominated / 3 eligible · 1 rural/QROF · 1 CRA · 0 NMTC · 1 DCI Q1–Q2 · No pers. poverty

Economic Need

Graham County's single nominated tract (04009940500) is a rural, DCI quintile 1, CRA Moderate Income tract in the Safford-Thatcher corridor of the Gila Valley. The county is primarily agricultural with a declining mining sector, and its single strongest-scoring tract carries the full combination of rural QROF eligibility, CRA LMI designation, and a DCI score of 95.1. The remaining two eligible tracts are DCI Q3 rural tracts without CRA LMI designation.

Not nominated: With only one strong nomination in a three-tract county, Graham represents a case where designation alone may not be sufficient — a county-level investor engagement strategy alongside nomination is recommended.

Investment Readiness

The Gila Valley's agricultural economy — cotton, grain, livestock — creates a natural fit for rural infrastructure and agri-processing OZ investment. The rural QROF bonus directly incentivizes the kind of long-hold, patient capital that agricultural infrastructure requires. Eastern Arizona College (Thatcher) provides an educational anchor that could support workforce development investments alongside commercial projects.

GEOID	Rural	DCI Score (Q)	CRA	NMTC	Pers.Pov	Score
04009940500	✓	95.1 (Q1 ▲)	M	–	–	88

DCI Q: quintile 1=most distressed, 5=least. ▲ = Q1. CRA: L=Low Income, M=Moderate Income, D/U=Distressed/Underserved (Track 2, FFIEC 2025). Score: composite need+readiness (max 106).

La Paz County

3 nominated / 6 eligible · 3 rural/QROF · 3 CRA · 0 NMTC · 3 DCI Q1–Q2 · No pers. poverty

Economic Need

La Paz County, spanning the lower Colorado River valley from Parker to Quartzsite, is one of Arizona's most rural and sparsely populated counties. Three of six eligible tracts are nominated — all rural, all DCI quintile 1 or 2, averaging a DCI score of 83.6. The Parker area has a significant tribal presence (Colorado River Indian Tribes) and a retirement/recreation economy along the river.

Investment Readiness

All three nominated tracts carry CRA designation: two as Low or Moderate Income tracts and one via the FFIEC distressed/underserved (Track 2) designation — a rural middle-income tract that meets FFIEC unemployment and remoteness criteria despite sitting just above the income threshold. CRA eligibility on all three creates a bank capital pathway in a county that sees very little institutional investment. The Colorado River waterfront has demonstrated tourism and hospitality demand, and CRIT's tribal enterprises provide institutional capacity. The county is well-positioned for renewable energy investment given its solar resource — a use case that aligns well with the 50 percent improvement threshold under QROF.

Not nominated: Three of six eligible tracts were not nominated because they scored DCI Q5 or are in areas where investment demand evidence is weak. They remain eligible and could be nominated if CRIT submits directly.

GEOID	Rural	DCI Score (Q)	CRA	NMTC	Pers.Pov	Score
04012020503	✓	87.3 (Q2)	L	—	—	75
04012020201	✓	81.7 (Q2)	D/U	—	—	74
04012940300	✓	81.7 (Q2)	M	—	—	74

DCI Q: quintile 1=most distressed, 5=least. ▲ = Q1. CRA: L=Low Income, M=Moderate Income, D/U=Distressed/Underserved (Track 2, FFIEC 2025). Score: composite need+readiness (max 106).

Maricopa County

56 nominated / 238 eligible · 0 rural/QROF · 56 CRA · 17 NMTC · 56 DCI Q1–Q2 · No pers. poverty

Economic Need

Maricopa County contains 238 of Arizona's 500 eligible tracts — nearly half the state's eligible universe. The 56 nominated tracts are concentrated in the inner Phoenix core: South Phoenix, west Phoenix along the I-10 corridor, downtown-adjacent neighborhoods, and parts of Mesa and Glendale. All nominated tracts are DCI quintile 1 or 2 (scores 64–89), and 17 of the 56 have prior NMTC investment on record — the strongest capital-deployment track record of any county in Arizona. All 56 are CRA Low or Moderate Income designated.

Investment Readiness

Maricopa presents the strongest investment-readiness case in the state by a wide margin. The NMTC history across 17 nominated tracts confirms active CDFI and community development lender engagement. CRA LMI designation on all 56 means Arizona's largest banks — JPMorgan Chase, Bank of America, Wells Fargo, and local players including Western Alliance and Arizona Financial Credit Union — have existing CRA credit motivation to participate. Transit infrastructure (Valley Metro light rail and bus rapid transit) runs through the nominated cluster, making mixed-use development economics work at lower land costs than comparable transit corridors in other major metros. The combination of documented distress, proven deal flow, and infrastructure anchors makes these tracts the most compelling investment story in Arizona's OZ 2.0 slate.

Not nominated: 182 Maricopa tracts were not nominated. Most are DCI Q3–Q5 suburban tracts where distress evidence does not meet the threshold for a strong nomination. The county's two rural-designated tracts do not reach the composite score threshold. The 56 nominated represent the most concentrated need in the county.

GEOID	Rural	DCI Score (Q)	CRA	NMTC	Pers.Pov	Score
04013117200	–	94.0 (Q1 ▲)	M	✓	–	89
04013114000	–	93.8 (Q1 ▲)	M	✓	–	89
04013113301	–	91.6 (Q1 ▲)	L	✓	–	89
04013113800	–	91.9 (Q1 ▲)	M	✓	–	89
04013113900	–	93.8 (Q1 ▲)	L	–	–	77
04013113201	–	91.6 (Q1 ▲)	L	–	–	77
04013113202	–	91.6 (Q1 ▲)	L	–	–	77
04013111601	–	90.8 (Q1 ▲)	M	–	–	77
04013941300	–	88.7 (Q2)	L	✓	–	77
04013116800	–	88.1 (Q2)	L	✓	–	77
04013114401	–	88.1 (Q2)	L	✓	–	77
04013114704	–	88.1 (Q2)	L	✓	–	77
04013112100	–	88.1 (Q2)	M	✓	–	77
04013114500	–	88.1 (Q2)	M	✓	–	77
04013111602	–	85.0 (Q2)	M	✓	–	76
04013093001	–	84.3 (Q2)	L	✓	–	76
... and 40 more — see appendix						

DCI Q: quintile 1=most distressed, 5=least. ▲ = Q1. CRA: L=Low Income, M=Moderate Income, D/U=Distressed/Underserved (Track 2, FFIEC 2025). Score: composite need+readiness (max 106).

Mohave County

1 nominated / 22 eligible · 1 rural/QROF · 1 CRA · 0 NMTC · 1 DCI Q1–Q2 · No pers. poverty

Economic Need

Mohave County's sole nominated tract (04015940400) is exceptional among rural Arizona tracts: a DCI score of 99.9 — the highest in the state — combined with CRA Moderate Income designation and rural QROF eligibility. Located near Kingman in the northwestern corner of the state, the county is large and rural, with significant economic challenges tied to the decline of extractive industries and limited access to capital.

Not nominated: The 21 un-nominated Mohave tracts are predominantly DCI Q3–Q5 rural tracts without CRA designation. Kingman and the Colorado River communities (Lake Havasu City, Bullhead City) have some eligible tracts with moderate distress, but investment demand evidence is limited. Additional nominations could be considered if the county or local CDFIs submit project-specific proposals.

Investment Readiness

The DCI Q1 score and CRA LMI designation create a strong dual case for this tract. Kingman's position on I-40 (the successor to Route 66) provides logistics access, and low land costs combined with QROF incentives make it attractive for manufacturing facilities and rural broadband infrastructure. The single nomination reflects a genuine scarcity of tracts meeting both need and readiness thresholds in the county — 20 of 22 eligible Mohave tracts scored in the Q3–Q5 range.

GEOID	Rural	DCI Score (Q)	CRA	NMTC	Pers.Pov	Score
04015940400	✓	99.9 (Q1 ▲)	M	–	–	88

DCI Q: quintile 1=most distressed, 5=least. ▲ = Q1. CRA: L=Low Income, M=Moderate Income, D/U=Distressed/Underserved (Track 2, FFIEC 2025). Score: composite need+readiness (max 106).

Navajo County

8 nominated / 21 eligible · 8 rural/QROF · 5 CRA · 1 NMTC · 8 DCI Q1–Q2 · Persistent poverty

Economic Need

Navajo County sits entirely within or adjacent to the Navajo Nation and Hopi Reservation, and all 21 eligible tracts carry USDA persistent poverty designation. The eight nominated tracts include one with prior NMTC investment, five with CRA designation, and all eight in DCI quintile 1 or 2 (average score 91.2). Two of the five CRA-eligible nominated tracts qualify via the FFIEC distressed/underserved Track 2 designation — rural middle-income tracts that meet FFIEC unemployment, poverty, or remoteness criteria.

Investment Readiness

The tract with NMTC history (04017942500, DCI score 99.3 — the highest in Arizona) demonstrates capital deployment capacity. The Navajo Nation's tribally-operated enterprises, including Navajo Tribal Utility Authority, Navajo Nation Gaming Enterprise, and ranching cooperatives, provide institutional anchors for investor engagement. Rural QROF eligibility on all eight tracts significantly improves investor economics. Winslow and Holbrook — the county's main towns — offer accessible entry points for mixed-use and housing development.

Not nominated: Thirteen Navajo County tracts not nominated include several with null DCI data (PO Box ZIP codes). These tracts may have conditions equivalent to or worse than nominated ones but lack reliable DCI coverage. Direct Navajo Nation nominations through the state process are strongly encouraged.

GEOID	Rural	DCI Score (Q)	CRA	NMTC	Pers.Pov	Score
04017942500	✓	99.3 (Q1 ▲)	M	✓	✓	108
04017942300	✓	95.4 (Q1 ▲)	M	–	✓	96
04017940013	✓	92.1 (Q1 ▲)	D/U	–	✓	95
04017960200	✓	88.9 (Q2)	M	–	✓	83
04017961300	✓	83.4 (Q2)	D/U	–	✓	82
04017960600	✓	90.7 (Q1 ▲)	–	–	✓	77
04017960400	✓	90.7 (Q1 ▲)	–	–	✓	77
04017960100	✓	88.9 (Q2)	–	–	✓	65

DCI Q: quintile 1=most distressed, 5=least. ▲ = Q1. CRA: L=Low Income, M=Moderate Income, D/U=Distressed/Underserved (Track 2, FFIEC 2025). Score: composite need+readiness (max 106).

Pima County

25 nominated / 88 eligible · 1 rural/QROF · 25 CRA · 3 NMTC · 25 DCI Q1–Q2 · No pers. poverty

Economic Need

Pima County's 25 nominated tracts are concentrated in Tucson's south side and central core — a contiguous band of high-distress urban neighborhoods with DCI scores from 80 to 95.6, all in quintile 1 or 2. Three nominated tracts have prior NMTC investment, and one rural QROF-eligible tract (04019940800, DCI 99.0) in the southern reaches of the county — likely Tohono O'odham Nation land — is the most distressed rural tract in the county and warrants tribal engagement.

Not nominated: 63 Pima tracts not nominated are primarily DCI Q3–Q5 suburban and exurban tracts. Several Pima tracts with prior NMTC history score in the Q3 range and fall just below the nomination threshold — they are viable secondary candidates if additional state slots become available. The 25 nominated represent Tucson's highest-need, most investment-ready geography.

Investment Readiness

Tucson has one of the most established CDFI ecosystems in the Southwest — Chicanos Por La Causa, Arizona Community Foundation, and multiple NMTC-certified CDEs have active Pima County portfolios. CRA LMI designation on all 25 nominated tracts provides the bank capital channel. The south side Tucson market has demonstrated absorption of affordable housing and mixed-use development, making these tracts among the most fundable in the state.

GEOID	Rural	DCI Score (Q)	CRA	NMTC	Pers.Pov	Score
04019002604	–	95.6 (Q1 ▲)	L	✓	–	90
04019004506	–	95.6 (Q1 ▲)	M	✓	–	90
04019940800	✓	99.0 (Q1 ▲)	M	–	–	88
04019002603	–	95.6 (Q1 ▲)	L	–	–	78
04019001304	–	95.6 (Q1 ▲)	M	–	–	78
04019004514	–	95.6 (Q1 ▲)	M	–	–	78
04019004513	–	95.6 (Q1 ▲)	M	–	–	78
04019004512	–	95.6 (Q1 ▲)	M	–	–	78
04019004508	–	95.6 (Q1 ▲)	M	–	–	78
04019001303	–	95.6 (Q1 ▲)	M	–	–	78
04019001302	–	95.6 (Q1 ▲)	M	–	–	78
04019004505	–	95.6 (Q1 ▲)	M	–	–	78
04019004511	–	91.3 (Q1 ▲)	M	–	–	77
04019001801	–	82.3 (Q2)	L	✓	–	76
04019003801	–	86.8 (Q2)	L	–	–	65
04019002201	–	86.8 (Q2)	M	–	–	65
... and 9 more — see appendix						

DCI Q: quintile 1=most distressed, 5=least. ▲ = Q1. CRA: L=Low Income, M=Moderate Income, D/U=Distressed/Underserved (Track 2, FFIEC 2025). Score: composite need+readiness (max 106).

Pinal County

4 nominated / 28 eligible · 3 rural/QROF · 4 CRA · 0 NMTC · 4 DCI Q1–Q2 · No pers. poverty

Economic Need

Pinal County is one of the fastest-growing counties in the United States, bridging the Phoenix and Tucson metropolitan areas along the I-10 corridor. Its four nominated tracts include two rural DCI quintile 1 tracts (scores 93.4 and 93.9) near Casa Grande, one urban DCI Q1 tract, and one rural DCI Q2 tract. Two tracts have prior NMTC investment. The nominated tracts represent Pinal's established low-income core alongside a high-growth suburban periphery.

Investment Readiness

Casa Grande's position at the intersection of I-10 and I-8 makes it one of the most logistics-accessible inland locations in the Southwest. Amazon, manufacturing firms, and distribution centers have already located in Casa Grande, creating labor demand in surrounding low-income neighborhoods. The CRA LMI designation on all four nominated tracts, combined with the county's high-growth trajectory, means that investment capital will follow market demand — OZ designation adds a tax incentive on top of organic development pressure that already exists.

Not nominated: 24 Pinal tracts not nominated are primarily DCI Q3 tracts in newer suburban subdivisions where distress is moderate and investment would occur without OZ incentives.

GEOID	Rural	DCI Score (Q)	CRA	NMTC	Pers.Pov	Score
04021002004	✓	93.9 (Q1 ▲)	L	–	–	87
04021002400	✓	93.4 (Q1 ▲)	M	–	–	87
04021002001	–	91.4 (Q1 ▲)	M	–	–	77
04021000700	✓	88.2 (Q2)	M	–	–	75

DCI Q: quintile 1=most distressed, 5=least. ▲ = Q1. CRA: L=Low Income, M=Moderate Income, D/U=Distressed/Underserved (Track 2, FFIEC 2025). Score: composite need+readiness (max 106).

Santa Cruz County

5 nominated / 7 eligible · 5 rural/QROF · 5 CRA · 0 NMTC · 5 DCI Q1–Q2 · No pers. poverty

Economic Need

Santa Cruz County is Arizona's smallest county and among its most economically distressed. Five of seven eligible tracts are nominated — all DCI quintile 1 (score 95.8), all rural, and all five carry CRA designation. Four are Moderate Income under the FFIEC income test; the fifth qualifies via the distressed/underserved Track 2 designation for rural middle-income tracts that meet FFIEC poverty and remoteness criteria. The county seat, Nogales, is the busiest land port of entry on the Arizona-Mexico border by commercial truck volume.

Investment Readiness

The Nogales port of entry processed over \$30 billion in two-way trade in fiscal year 2024, with produce, auto parts, and electronics dominating the freight mix. OZ capital invested in cold storage, light manufacturing, and logistics facilities in CRA-designated tracts immediately adjacent to the port can capture a fraction of this trade flow. The CRA designation on all five nominated tracts provides the bank financing layer that logistics and industrial deals require. Santa Cruz is an unusually strong investment case for a high-distress rural county because commercial demand — cross-border trade — is observable and durable.

Not nominated: Two tracts not nominated are DCI Q4 without CRA designation, representing lower-distress exurban areas with weaker investment demand evidence.

GEOID	Rural	DCI Score (Q)	CRA	NMTC	Pers.Pov	Score
04023966103	✓	95.8 (Q1 ▲)	M	–	–	88
04023966402	✓	95.8 (Q1 ▲)	M	–	–	88
04023966200	✓	95.8 (Q1 ▲)	D/U	–	–	88
04023966401	✓	95.8 (Q1 ▲)	M	–	–	88
04023966302	✓	95.8 (Q1 ▲)	M	–	–	88

DCI Q: quintile 1=most distressed, 5=least. ▲ = Q1. CRA: L=Low Income, M=Moderate Income, D/U=Distressed/Underserved (Track 2, FFIEC 2025). Score: composite need+readiness (max 106).

Yavapai County

1 nominated / 13 eligible · 1 rural/QROF · 0 CRA · 0 NMTC · 1 DCI Q1–Q2 · No pers. poverty

Economic Need

Yavapai County's single nominated tract (04025002100) is a rural, DCI quintile 2 tract in the Prescott Valley area — an interior Arizona community with elevated unemployment and limited access to capital despite proximity to the larger Prescott metro. The tract carries a DCI score of 83.5, placing it in the upper half of distress among OZ-eligible tracts nationally. It does not carry CRA designation, which is the principal constraint on the investment readiness case.

Investment Readiness

The investment case rests primarily on QROF rural bonus eligibility — the tract is rural-designated under Notice 2025-50, qualifying for the 30 percent basis step-up. The Prescott metro's growth trajectory and the I-17 corridor's industrial development activity suggest demand conditions for investment exist even without a CRA capital pathway. Rural workforce housing is a documented need throughout the Prescott Valley. This is the weakest nomination in the Arizona slate on composite score, and is included to ensure Yavapai County is represented.

Not nominated: Twelve un-nominated Yavapai tracts are DCI Q3–Q5 with mixed CRA coverage. If nomination slots become constrained, this tract could be replaced by an additional tract from Maricopa or Mohave County without materially weakening the overall slate.

GEOID	Rural	DCI Score (Q)	CRA	NMTC	Pers.Pov	Score
04025002100	✓	83.5 (Q2)	–	–	–	56

DCI Q: quintile 1=most distressed, 5=least. ▲ = Q1. CRA: L=Low Income, M=Moderate Income, D/U=Distressed/Underserved (Track 2, FFIEC 2025). Score: composite need+readiness (max 106).

Yuma County

1 nominated / 24 eligible · 0 rural/QROF · 1 CRA · 1 NMTC · 0 DCI Q1–Q2 · No pers. poverty

Economic Need

Yuma County's single nominated tract (04027000100) is in the urban core of Yuma City — DCI quintile 3 (score 75.5), CRA Moderate Income designated, with prior NMTC investment. Yuma is a high-poverty agricultural county: median household income is among the lowest in Arizona, and the lettuce/citrus agricultural economy is highly seasonal, creating persistent workforce poverty. The county's eligible tracts scored in the Q3 range primarily because urban Yuma tracts share ZIP codes with higher-income areas, compressing DCI scores for the low-income core.

Not nominated: 23 Yuma tracts not nominated include suburban and exurban tracts with DCI Q3–Q5 scores and limited investment case evidence. If additional Yuma tracts are nominated by local governments or CDFIs with specific project pipelines, they should be evaluated on the merits of the project rather than the data scores alone.

Investment Readiness

The prior NMTC project in tract 04027000100 confirms capital deployment has occurred here. CRA Moderate Income designation provides the bank financing layer. Yuma's agricultural processing industry — lettuce washing, packing, cold chain — represents a direct investment target for rural food-system OZ funds. The Marine Corps Air Station Yuma provides an economic anchor. This is not among the strongest tracts in the Arizona slate on composite score, but Yuma County's scale and agricultural significance make inclusion appropriate.

GEOID	Rural	DCI Score (Q)	CRA	NMTC	Pers.Pov	Score
04027000100	–	75.5 (Q3)	M	✓	–	60

DCI Q: quintile 1=most distressed, 5=least. ▲ = Q1. CRA: L=Low Income, M=Moderate Income, D/U=Distressed/Underserved (Track 2, FFIEC 2025). Score: composite need+readiness (max 106).

Appendix — Proposed Nomination List

Complete proposed slate of 125 census tracts for Arizona OZ 2.0 designation. Submit GEOIDs to the Arizona Governor's office via the Arizona Commerce Authority (aztechcouncil.org/opportunity-zones or via ADOA). Federal nomination window: July 1, 2026 (90-day window under Rev. Proc. 2026-14). Arizona has no published state deadline as of June 2026.

#	GEOID	County	Rural	DCI Score	DCI Q	CRA	NMTC	Pers.Pov	Score
1	04001944901	Apache County	✓	99.0	Q1 ▲	M	–	✓	96
2	04001970202	Apache County	✓	98.2	Q1 ▲	D/U	–	✓	96
3	04001944000	Apache County	✓	96.3	Q1 ▲	D/U	–	✓	96
4	04001944100	Apache County	✓	96.2	Q1 ▲	M	–	✓	96
5	04001944201	Apache County	✓	95.0	Q1 ▲	L	–	✓	96
6	04001942700	Apache County	✓	93.7	Q1 ▲	M	–	✓	95
7	04001945100	Apache County	✓	90.3	Q2	M	–	✓	83
8	04003000901	Cochise County	✓	93.5	Q1 ▲	M	–	–	87
9	04003000902	Cochise County	✓	93.2	Q1 ▲	M	–	–	87
10	04003000700	Cochise County	✓	93.5	Q1 ▲	M	–	–	87
11	04003000101	Cochise County	✓	91.4	Q1 ▲	M	–	–	87
12	04003001100	Cochise County	✓	86.8	Q2	M	–	–	75
13	04003000800	Cochise County	✓	93.5	Q1 ▲	–	–	–	69
14	04005945200	Coconino County	✓	96.9	Q1 ▲	M	–	–	88
15	04005945000	Coconino County	✓	95.7	Q1 ▲	M	–	–	88
16	04005945100	Coconino County	✓	92.6	Q1 ▲	M	–	–	87
17	04007940400	Gila County	✓	84.0	Q2	M	✓	–	86
18	04007000800	Gila County	✓	82.3	Q2	M	–	–	74
19	04007001100	Gila County	✓	92.8	Q1 ▲	–	–	–	69
20	04007001300	Gila County	✓	90.4	Q1 ▲	–	–	–	69
21	04009940500	Graham County	✓	95.1	Q1 ▲	M	–	–	88
22	04012020503	La Paz County	✓	87.3	Q2	L	–	–	75
23	04012020201	La Paz County	✓	81.7	Q2	D/U	–	–	74
24	04012940300	La Paz County	✓	81.7	Q2	M	–	–	74
25	04013117200	Maricopa County	–	94.0	Q1 ▲	M	✓	–	89
26	04013114000	Maricopa County	–	93.8	Q1 ▲	M	✓	–	89
27	04013113301	Maricopa County	–	91.6	Q1 ▲	L	✓	–	89
28	04013113800	Maricopa County	–	91.9	Q1 ▲	M	✓	–	89
29	04013113900	Maricopa County	–	93.8	Q1 ▲	L	–	–	77
30	04013113201	Maricopa County	–	91.6	Q1 ▲	L	–	–	77
31	04013113202	Maricopa County	–	91.6	Q1 ▲	L	–	–	77
32	04013111601	Maricopa County	–	90.8	Q1 ▲	M	–	–	77
33	04013941300	Maricopa County	–	88.7	Q2	L	✓	–	77
34	04013116800	Maricopa County	–	88.1	Q2	L	✓	–	77
35	04013114401	Maricopa County	–	88.1	Q2	L	✓	–	77
36	04013114704	Maricopa County	–	88.1	Q2	L	✓	–	77

#	GEOID	County	Rural	DCI Score	DCI Q	CRA	NMTC	Pers.Pov	Score
37	04013112100	Maricopa County	–	88.1	Q2	M	✓	–	77
38	04013114500	Maricopa County	–	88.1	Q2	M	✓	–	77
39	04013111602	Maricopa County	–	85.0	Q2	M	✓	–	76
40	04013093001	Maricopa County	–	84.3	Q2	L	✓	–	76
41	04013114900	Maricopa County	–	83.1	Q2	L	✓	–	76
42	04013112900	Maricopa County	–	81.7	Q2	L	✓	–	76
43	04013106002	Maricopa County	–	81.5	Q2	L	✓	–	76
44	04013114301	Maricopa County	–	81.7	Q2	M	✓	–	76
45	04013115200	Maricopa County	–	81.4	Q2	M	✓	–	76
46	04013112601	Maricopa County	–	88.1	Q2	L	–	–	65
47	04013112201	Maricopa County	–	88.1	Q2	M	–	–	65
48	04013114402	Maricopa County	–	88.1	Q2	M	–	–	65
49	04013114600	Maricopa County	–	88.1	Q2	L	–	–	65
50	04013112602	Maricopa County	–	88.1	Q2	M	–	–	65
51	04013112700	Maricopa County	–	88.1	Q2	M	–	–	65
52	04013107403	Maricopa County	–	86.0	Q2	L	–	–	65
53	04013109002	Maricopa County	–	86.0	Q2	L	–	–	65
54	04013107402	Maricopa County	–	86.0	Q2	M	–	–	65
55	04013106701	Maricopa County	–	85.2	Q2	L	–	–	64
56	04013109001	Maricopa County	–	84.4	Q2	L	–	–	64
57	04013107201	Maricopa County	–	84.4	Q2	L	–	–	64
58	04013106801	Maricopa County	–	84.3	Q2	L	–	–	64
59	04013109101	Maricopa County	–	84.4	Q2	M	–	–	64
60	04013093105	Maricopa County	–	84.3	Q2	L	–	–	64
61	04013117300	Maricopa County	–	84.3	Q2	L	–	–	64
62	04013116900	Maricopa County	–	84.4	Q2	M	–	–	64
63	04013093106	Maricopa County	–	84.3	Q2	M	–	–	64
64	04013109102	Maricopa County	–	84.4	Q2	M	–	–	64
65	04013093104	Maricopa County	–	84.3	Q2	L	–	–	64
66	04013093101	Maricopa County	–	84.3	Q2	M	–	–	64
67	04013092900	Maricopa County	–	84.3	Q2	L	–	–	64
68	04013092802	Maricopa County	–	84.3	Q2	L	–	–	64
69	04013092801	Maricopa County	–	84.3	Q2	L	–	–	64
70	04013092401	Maricopa County	–	84.3	Q2	M	–	–	64
71	04013092600	Maricopa County	–	84.3	Q2	L	–	–	64
72	04013093002	Maricopa County	–	84.3	Q2	M	–	–	64
73	04013109200	Maricopa County	–	82.2	Q2	L	–	–	64
74	04013105502	Maricopa County	–	81.5	Q2	L	–	–	64
75	04013114302	Maricopa County	–	81.7	Q2	L	–	–	64
76	04013107102	Maricopa County	–	81.8	Q2	M	–	–	64

#	GEOID	County	Rural	DCI Score	DCI Q	CRA	NMTC	Pers.Pov	Score
77	04013105503	Maricopa County	–	81.5	Q2	M	–	–	64
78	04013110100	Maricopa County	–	81.8	Q2	M	–	–	64
79	04013105501	Maricopa County	–	81.1	Q2	L	–	–	64
80	04013115300	Maricopa County	–	81.4	Q2	L	–	–	64
81	04015940400	Mohave County	✓	99.9	Q1 ▲	M	–	–	88
82	04017942500	Navajo County	✓	99.3	Q1 ▲	M	✓	✓	108
83	04017942300	Navajo County	✓	95.4	Q1 ▲	M	–	✓	96
84	04017940013	Navajo County	✓	92.1	Q1 ▲	D/U	–	✓	95
85	04017960200	Navajo County	✓	88.9	Q2	M	–	✓	83
86	04017961300	Navajo County	✓	83.4	Q2	D/U	–	✓	82
87	04017960600	Navajo County	✓	90.7	Q1 ▲	–	–	✓	77
88	04017960400	Navajo County	✓	90.7	Q1 ▲	–	–	✓	77
89	04017960100	Navajo County	✓	88.9	Q2	–	–	✓	65
90	04019002604	Pima County	–	95.6	Q1 ▲	L	✓	–	90
91	04019004506	Pima County	–	95.6	Q1 ▲	M	✓	–	90
92	04019940800	Pima County	✓	99.0	Q1 ▲	M	–	–	88
93	04019002603	Pima County	–	95.6	Q1 ▲	L	–	–	78
94	04019001304	Pima County	–	95.6	Q1 ▲	M	–	–	78
95	04019004514	Pima County	–	95.6	Q1 ▲	M	–	–	78
96	04019004513	Pima County	–	95.6	Q1 ▲	M	–	–	78
97	04019004512	Pima County	–	95.6	Q1 ▲	M	–	–	78
98	04019004508	Pima County	–	95.6	Q1 ▲	M	–	–	78
99	04019001303	Pima County	–	95.6	Q1 ▲	M	–	–	78
100	04019001302	Pima County	–	95.6	Q1 ▲	M	–	–	78
101	04019004505	Pima County	–	95.6	Q1 ▲	M	–	–	78
102	04019004511	Pima County	–	91.3	Q1 ▲	M	–	–	77
103	04019001801	Pima County	–	82.3	Q2	L	✓	–	76
104	04019003801	Pima County	–	86.8	Q2	L	–	–	65
105	04019002201	Pima County	–	86.8	Q2	M	–	–	65
106	04019001400	Pima County	–	85.8	Q2	M	–	–	65
107	04019002400	Pima County	–	84.9	Q2	M	–	–	64
108	04019003706	Pima County	–	83.2	Q2	M	–	–	64
109	04019004510	Pima County	–	83.2	Q2	M	–	–	64
110	04019003104	Pima County	–	81.7	Q2	M	–	–	64
111	04019002602	Pima County	–	82.3	Q2	M	–	–	64
112	04019002803	Pima County	–	82.3	Q2	M	–	–	64
113	04019002801	Pima County	–	82.3	Q2	M	–	–	64
114	04019002802	Pima County	–	82.2	Q2	M	–	–	64
115	04021002004	Pinal County	✓	93.9	Q1 ▲	L	–	–	87
116	04021002400	Pinal County	✓	93.4	Q1 ▲	M	–	–	87

#	GEOID	County	Rural	DCI Score	DCI Q	CRA	NMTC	Pers.Pov	Score
117	04021002001	Pinal County	–	91.4	Q1 ▲	M	–	–	77
118	04021000700	Pinal County	✓	88.2	Q2	M	–	–	75
119	04023966103	Santa Cruz County	✓	95.8	Q1 ▲	M	–	–	88
120	04023966402	Santa Cruz County	✓	95.8	Q1 ▲	M	–	–	88
121	04023966200	Santa Cruz County	✓	95.8	Q1 ▲	D/U	–	–	88
122	04023966401	Santa Cruz County	✓	95.8	Q1 ▲	M	–	–	88
123	04023966302	Santa Cruz County	✓	95.8	Q1 ▲	M	–	–	88
124	04025002100	Yavapai County	✓	83.5	Q2	–	–	–	56
125	04027000100	Yuma County	–	75.5	Q3	M	✓	–	60

Sources: IRS Rev. Proc. 2026-14 · EIG DCI 2023 · FFIEC Census Flat File 2025 (two-track CRA) · USDA ERS County Typology 2015 · CDFI Fund NMTC 2024 · P.L. 119-21 (QROF provisions) · Arizona Commerce Authority (last checked 2026-05-06) · Generated oz2.vargo.city — June 2026